



BITE Business&economy **SLOWDOWN**

It will Get **WORSE** Before it Gets



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A week, they say, is a long time in politics. In economics, the time frame would be a quarter, or three months. When Lehman Brothers hit the headlines, the UPA Government wore a smug "it doesn't hurt us" expression. The truth didn't take time to settle down in denial land. Even as hoardings went blank for want of takers on Marine Drive in Mumbai, bad news crowded out all other headlines. The crash-landing of the Sensex to sub-8,000 levels, the worst ever sales by automobile makers three months in a row, the swarm of Jet Airways staffers in yellow jackets, the wave of pink slips across the financial sector, the loss of one million jobs in the SME/textile sector, exports dipping to minus 12 per cent in October and the IIP scraping 0.4 per cent occupied headlines and mindspace. As the queue of whine and lament grew longer and louder, the Government switched to the

"yes, we cannot be not affected" mode. As with the political, so with the economy. Typically, the first moves were to-kenism. Infusion of liquidity and promise of much more. By December 2008, the Government had injected Rs 3,00,000 crore of liquidity, cut Cenvat by 4 per cent, dribbled out sops for exporters and SMEs, and bailed out NBFCs with a credit line. Theorists who sold the India Story as an exclusive and those who paraded their thesis of a decoupled India have both disappeared. The magnitude of the crisis though is yet unknown. We don't have a picture of the total impact of the external shock on the economy, barring the slide in crude oil prices. What this means is that the worst is yet to be seen. It is in this rapidly altering landscape that the Board of India Today Economists met on January 9 and conducted a forensic examination of the economy before writing out their prescription for growth and forecasts for the year 2009-10.